

[CONFIDENTIAL]

Acquisition Discussions — SearchAI (Project Nightingale)

Author: CEO / CFO

Department: Confidential

Last Updated: 2026-04-12

Classification: confidential

NovaTech is in preliminary discussions to acquire SearchAI, a stealth-stage AI search startup (8 employees, ex-Google Brain team). The deal, internally codenamed Project Nightingale, would be a talent + technology acquisition valued at \$18–22M. The primary motivation is the SearchAI team's multimodal retrieval capability, which would accelerate Project Atlas's roadmap by an estimated 18 months.

1. Strategic Rationale

SearchAI's core IP — a multimodal vector encoder that jointly embeds text, tables, and images — directly addresses the most common Feature X limitation reported by enterprise beta users: inability to retrieve from embedded charts and diagrams in PDF documents.

The 8-person SearchAI team (4 research engineers, 2 MLEs, 1 PM, 1 infra) would be integrated into the Project Atlas engineering org under Deepa Iyer. The acquisition is contingent on at least 6 of 8 employees signing retention agreements with a 3-year vesting cliff.

2. Proposed Deal Structure

Component	Value	Notes
Cash at close	\$8–10M	From existing cash reserves
RSU consideration	\$10–12M	4-year vest, 1-year cliff
Retention pool	\$2M	Additional 2-year vest for key engineers
Total	\$20–24M	Subject to due diligence

3. Timeline & Risks

- LOI target: May 2026. Due diligence: 6–8 weeks. Close: Q3 2026.
- Risk 1: Competing offer from Glean (rumoured to be in discussions with SearchAI).
- Risk 2: IP ownership disputes — SearchAI CTO has 2 patents filed at Google; clearance needed.

- Risk 3: Retention risk if acqui-hire terms not competitive with FAANG alternatives.